Refund & Cancellation Policy Update — Extended Free-Cancellation Window (effective 2025-07-01)

Announced 2025-06-16 · Owner: Trust & Policy · In collaboration with Customer Experience, Growth Marketing and Finance

Document ID	WB-POL-2025-007-EN	Version	v1.0 (Notice)
Effective	2025-07-01 00:00 (UTC)	Applies to	All bookings **created** on or after the effective date
Policy owner	Head of Trust & Policy	Classification	Internal only (customer notice issued separately)

Summary — From July 1, 2025, the free-cancellation deadline moves from **7 days before check-in to 48 hours before check-in**. We expect better booking conversion, but cancellations may rise somewhat; the expected impact is **within +3 percentage points**. If the monthly cancellation rate rises **more than +5 percentage points** versus the month before the update, the policy will be reviewed.

1. Background

- **Competitive landscape:** two of our three main competitors made ‘free cancellation up to 24–48 hours before check-in’ their default policy in the first half of 2025.
- **Customer feedback:** in a January–May 2025 booking-abandonment survey, 31% of respondents cited ‘strict cancellation terms’ as their reason for not booking.
- **Peak-season readiness:** flexible cancellation terms just before the summer peak (June–August check-ins) support conversion for the Summer Escape 2025 campaign (WB-MKT-2025-014).

2. What is changing (before / after)

Item	Before (until 2025-06-30)	After (from 2025-07-01)
Free cancellation (100% refund) deadline	Up to **7 days** before check-in	Up to **48 hours** before check-in
Partial refund (50%)	7 days to 24 hours before check-in	48 hours to 24 hours before check-in
No refund	Within 24 hours of check-in	Within 24 hours of check-in (unchanged)
Service fee refund	Refunded if cancelled within the free-cancellation window	Unchanged
Host payout	Host receives 80% of the cancellation fee	Unchanged
Exception (long stays, 28+ nights)	Free cancellation up to 30 days before check-in	Unchanged

Figure 1. Refund windows relative to check-in (standard listings, not to scale)



3. Expected impact

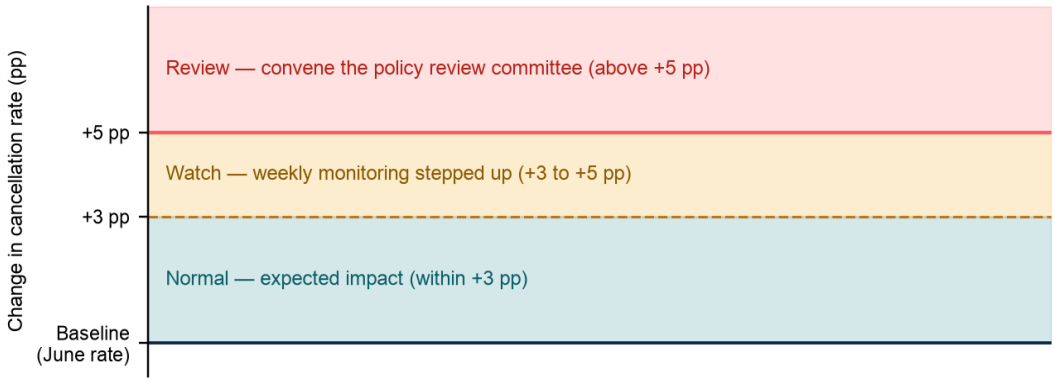
Impact estimated by the Growth Analytics team from first-half 2025 booking data and competitor benchmarks. The baseline is the **cancellation rate of bookings created in the month before the update (June 2025)**.

Metric	Definition	Expected change	Rationale
Booking conversion	Listing views that end in a completed booking	+5 to 8%	Published competitor cases after policy change
Cancellation rate	Cancelled bookings ÷ all bookings (by booking created month)	**Within +3 pp**	Survey of cancellation intent in the 48-hour to 7-day window
Net revenue	Sum of total_amount for completed bookings	Neutral to +2%	Higher conversion offsets extra cancellations
Support contacts	Refund-related support cases	-10 to -15%	Fewer partial-refund disputes expected

4. Guardrail and review criteria

Band	Criterion (change in monthly cancellation rate vs. the month before the update)	Action
Normal	Within +3 pp	Keep the policy; share in the monthly report
Watch	Above +3 pp, up to +5 pp	Step up weekly monitoring; analyze causes by market and segment
Review	**Above +5 pp**	Convene the policy review committee (within 5 business days); consider adjusting the window or rolling back

Figure 2. Monthly cancellation-rate guardrail (change vs. the month before the update)

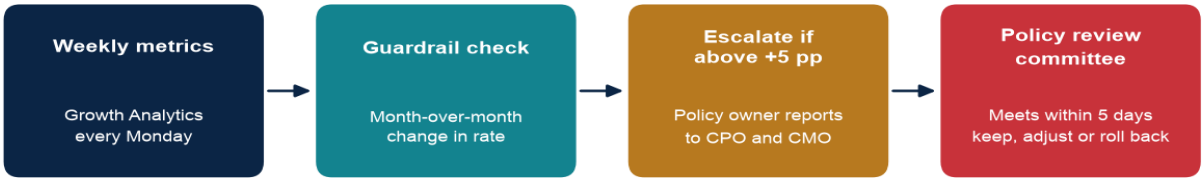


Note — Example: if June's cancellation rate was 20%, a July rate up to 23% is normal and anything above 25% triggers a review. The check uses the total across all markets; individual markets are for reference only.

5. Monitoring plan

We will monitor the metrics below for at least three months after launch. The data comes from booking data in Unity Catalog (silver_fact_bookings) and is available in the Wanderbricks Marketing Assistant (Genie) and the Customer 360 dashboard.

Figure 3. Monitoring and escalation process



Metric	Frequency	Owner	Reported to
Monthly cancellation rate (by booking created month)	Weekly / monthly	Growth Analytics	Policy owner, CMO
Cancellation rate by market and customer type	Weekly	Growth Analytics	Growth Marketing
Booking conversion, net revenue	Monthly	Growth Analytics	Finance, CMO
Refund-related support contacts	Weekly	Customer Experience	Policy owner

6. Frequently asked questions

Q. Which policy applies if a booking created in June is cancelled in July?

A. The policy in effect when the booking was created applies. Bookings created on or before 2025-06-30 follow the previous policy (free cancellation up to 7 days before check-in).

Q. Can hosts set a stricter policy of their own?

A. No. This update is the platform default policy, and the ‘strict’ option will be retired after a grace period ending 2025-09-30.

Q. Does this apply to business (corporate) customers too?

A. Yes. It applies equally to individual and business customers. Separate terms in corporate contracts take precedence.

Q. Is the policy rolled back immediately if the cancellation rate crosses the review threshold?

A. No. The review committee analyzes causes by market and customer type, then decides to keep the policy, adjust the window (for example, to 72 hours) or roll back.

7. Contacts

Topic	Team	Channel
Policy details	Trust & Policy	#policy-help (internal chat)
Data and metrics	Growth Analytics	#growth-analytics
Customer response scripts	Customer Experience	CX knowledge base KB-2025-118